

Shriram Finance Ltd

SHRIRAMFIN | Financials | Consumer Finance

ROE

N/A

ROCE

N/A

REVENUE CAGR 5Y

18.6%

NET PROFIT

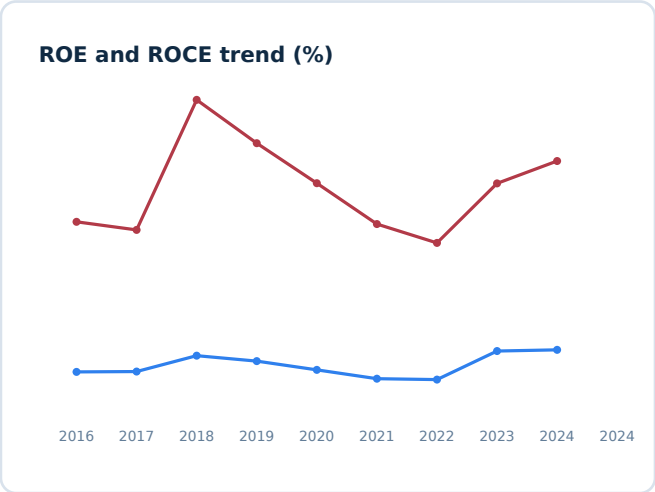
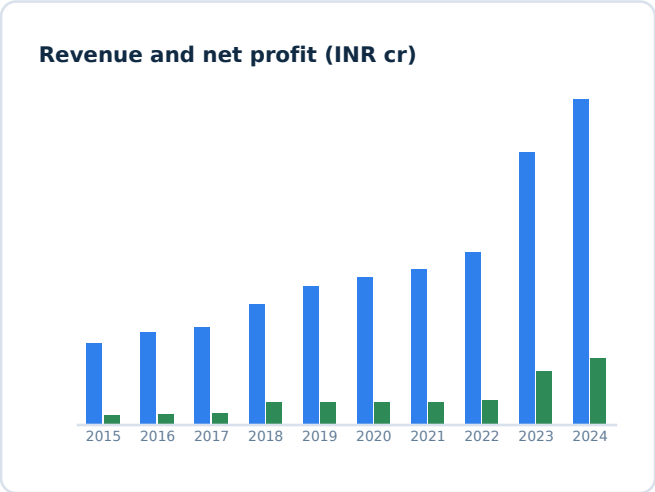
7,399 cr

DEBT / EQUITY

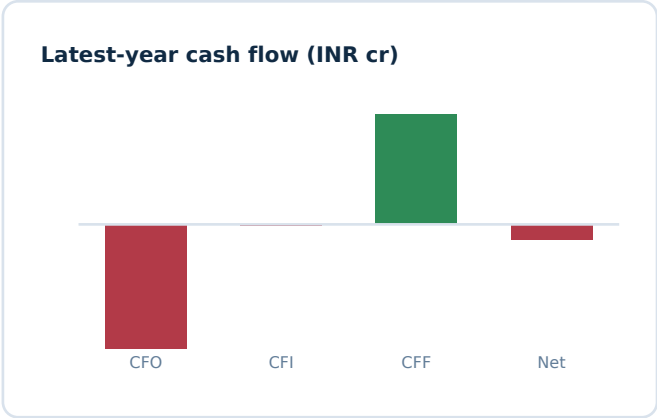
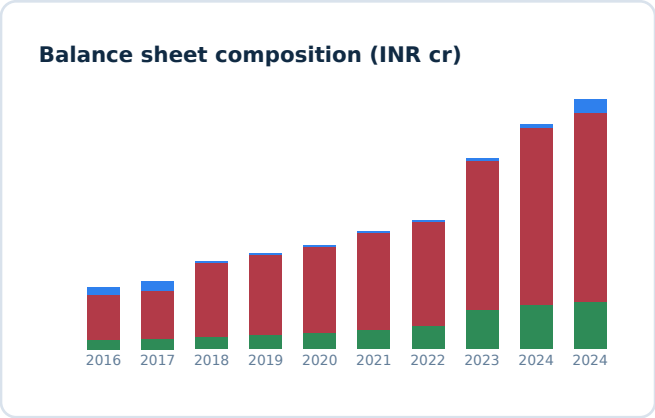
4.0x

BORROWINGS

207,820 cr



Coverage: 10 annual observations shown; latest financial year: 2024-03



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Return on equity improving for 3 consecutive years shows strengthening business quality
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Earnings per share declining for 3 consecutive years reflects deteriorating profitability
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

CAPITAL ALLOCATION

Growth Funded by Debt